

will, the legal heirs as per the applicable law of intestate succession,” he says.

In the case of insurance, however, nomination allows relatively easy passage of benefits to nominees. “Under the Insurance Act, 1938, where a life insurance policyholder nominates specified close family members, such as a parent, spouse or a child, the nominee may, subject to the applicable provisions and exceptions, be regarded as beneficially entitled to the insurance proceeds,” says Patnaik.

Other documents commonly sought include letters of administration, succession certificate, indemnity bonds and affidavits.

Makhija of Sanctum Wealth breaks down the details.

“Letters of administration are generally required where a person dies without a will or no executor has been appointed,” she says. “A Succession Certificate is typically required where a person dies intestate and the estate comprises only movable financial assets... Indemnity bonds, affidavits and similar documents are commonly sought as procedural safeguards to protect institutions against competing claims or future litigation,” she explains.

PROBLEMATIC WILLS

Despite the best intentions of a testator, things can go haywire and a will can be challenged for multiple reasons.

“Allegations of undue influence, lack of testamentary capacity, forgery or suspicious circumstances surrounding the execution of the will are also common grounds for a challenge,” says Makhija.

A will lacking rigour in itself can lead to problems and legal challenges. “A will may be poorly structured if it fails to provide for sub-



“Lack of testamentary capacity, coercion, undue influence, fraud, suspicious circumstances, or improper execution are grounds for contesting a will”

TANMAY PATNAIK
PARTNER PRIVATE CLIENT
PRACTICE, TRILEGAL



“For families with complex asset holdings, private family trusts ensure continuity, protection, and efficient inter-generational wealth transfer”

SNEHA MAKHIJA
HEAD OF WEALTH PLANNING
AT SANCTUM WEALTH

stitute beneficiaries in the event of predeceasing legatees, omits a residuary clause, attempts to cover overseas assets without proper planning, or contains handwritten changes or annexures that are not properly executed through a codicil,” Khaitan says.

OPTING FOR TRUST

A will is useful for most income groups with moderate assets. Those with an extensive list of properties, businesses, overseas assets and a list of beneficiaries with complicated requirements often float a trust.

A trust is a legal arrangement and comprises a settler (or grantor), trustee or trustees and beneficiaries. Private trusts are governed by the Indian Trusts Act, 1882. The settler is the one transferring the assets to the trust he/she has created. The trustees appointed by the grantor take care of the assets and ensure they go to the intended beneficiaries.

“For families with complex asset holdings, business interests, cross-border assets, blended families, or specific succession objectives, a will alone may not be sufficient. In such cases, it should form part of a broader estate planning framework, complemented by structures such as private family trusts and other succession planning tools,” says Makhija.

“Trusts can be named as legatees under a will, allowing assets to flow into a trust structure upon the testator’s demise. This is particularly useful for protecting minor or special-needs beneficiaries, ensuring professional management of assets, facilitating smooth inter-generational transfer and protecting assets from creditors or matrimonial disharmony,” says Khaitan. **BT**